EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sanchez Mira is a third class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a visita of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

The audit covered the accounts and operations of the Municipal Government of Sanchez Mira, Cagayan for the year 2016 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sanchez Mira for the year ended December 31, 2016, with comparative figures for CY 2015 are as follows:

	2016	2015	Increase (Decrease)
Financial Condition			
Total Assets	P 190,816,666.66	P 164,777,449.29	21,271,960.61
Total Liabilities	62,623,458.91	61,586,016.80	15,116,677.31
Total Government Equity	128,193,207.75	103,191,432.49	6,155,283.30
Results of Operation			
Total Income	P 94,814,936.90	P 85,956,984.62	8,857,952.28
Total Expenses	66,887,025.87	65,372,576.88	1,514,448.99
Appropriations, Allotments and Obligations			
Appropriations	P 142,640,100.07	P 98,780,649.11	P 43,859,450.96
Allotments	142,640,100.07	98,780,649.11	43,859,450.96
Obligations	97,279,470.72	67,773,991.33	29,505,479.39

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2016	2015	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	0.00	0.00	0.00
Due from GOCCs	0.00	0.00	0.00
Due from LGUs	0.00	0.00	0.00
Due from NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	0.00	0.00	0.00
Fund Received from Other Agencies:			
Due to Other NGAs	P 36,258,161.13	P 26,215,478.00	P 10,042,683.13
Due to LGUs	0.00	2,464,204.69	(2,464,204.69)
Due to NGOs/POs	0.00	0.00	0.00
Others	0.00	0.00	0.00
TOTAL	**P 36,258,161.13**	**P 28,679,682.69**	**P 7,578,478.44**

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the presentation of the financial statements of the Municipality of Sanchez Mira, Cagayan as of December 31, 2016 due to Real Property Tax and Special Education Tax Receivables totaling P27, 508,681.35 that are doubtful due to absence of details for the composition thereof.

4. Summary of Significant Findings and Recommendations

For CY 2016, the municipality of Sanchez Mira thru the leadership of Honorable Asela B. Sacramed and the members of the Legislative Body and executive Staff, is one of the recipients of the CY 2016 Good Financial Housekeeping, a core area of the Seal of Good Local Governance.

However, the audit team noted the following audit observations with its recommendations to improve the performance and financial operations of the municipality:

1. The accuracy and reliability of the reported balances of the accounts Real Property Tax Receivables and Special Education Tax Receivables totaling P27, 508,681.35 are doubtful due to the absence of details to account for the composition thereof.

We recommended the management to create a committee composed of members from the offices of the Municipal Treasurer, Accountant and Assessor with the primary objective of tracing back prior year's records/documents and reconcile the

same. Effect the necessary adjustment(s) in the books of accounts to provide the accurate balance of the RPT/SET Receivables in the financial statements.

2. **Multiple cash advances were granted to the Disbursing Officer, hence allowing him to handle huge amounts of cash for payment of payroll which could lead to possible loss, misuse and misappropriation and may also result to the delay in the liquidation thereof.**

   We recommended that the Municipal Government adopt a system of payroll payment through the Automated Teller Machine (ATMs) of banks which would result in:

   a. Convenience on the part of the Management since payroll payments are distributed from the payroll account maintained in an authorized government depository bank to the individual accounts of the employees;
   b. Convenience on the part of the employees since payrolls can be withdrawn anytime in ATM during their free time and which was located near the Municipal Hall;
   c. Decreases if not eliminates the risk of loss or misapplication of funds;
   d. Reduces cash advances handled by the Disbursing Officer;
   e. On time liquidation of cash advances.

3. **Job order employees were hired without clear and written program, policy guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.**

   With the above observations, we recommended that:

   a) Management attribute the hiring of Job Order personnel to specific projects for a period of not exceeding six months. Maximize personnel holding permanent positions to do regular, administrative and clerical functions.

   b) Management formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices in order to avoid excessive manpower and work duplication. Management to formulate a Program/Policy Guidelines in the hiring of job order personnel, taking into consideration the necessity of hiring and the reasonable number of job order employees to be assigned in the different offices to avoid excessive manpower and work duplication.

4. **Financial assistance amounting to P1, 279,500.00 which were granted to various individuals, people's organizations, schools and barangays for various purposes were taken up in the books of the Municipality as direct expense thus, exempting them from their duties and responsibilities of ensuring that the accounting and reporting of the fund was properly done and that the**

implementation of the projects are within the approved programs of the Municipality. It also denied the Municipality to be informed of whether the funds were utilized as intended due to failure to establish proper accountability contrary to COA Circular No. 94-013 dated December 13, 1994 and 2015-009 dated December 1, 2015.

We recommended that the transfers to the various government agencies/POs/NGOs be taken up under the Receivables account to establish accountability and responsibility over the funds transferred. This will also ensure that the transfers are properly taken up in the books of both agencies and that the funds are used as intended to promote transparency and accountability. Likewise, we recommend that Management require the individual beneficiaries to submit documents/liquidation report on the funds received.

5. **The Municipality was not able to utilize fully its total available appropriation for the 20% Development Fund amounting to P14,749,846.45, thus the constituents were deprived of the benefits that could have been derived therefrom.**

   We recommended that Management identify the reasons of the non-implementation of the programs/projects/activities and consequently make the necessary actions to facilitate their implementation so that the intended beneficiaries enjoy the benefits that could be derived therefrom.

5. Summary of Total Suspensions, Disallowances and Charges as of year-end

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	**0.00**	**0.00**	**0.00**	**0.00**	
Disallowances					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	135,475.37	135,475.37	0.00	100%
Total	**0.00**	**135,475.37**	**135,475.37**	**0.00**	**100%**
Charges					
Prior Years	0.00	0.00	0.00	0.00	
Current Year	0.00	0.00	0.00	0.00	
Total	**0.00**	**0.00**	**0.00**	**0.00**	

6. Status of Implementations of Prior Years' Audit Recommendations

Out of the eleven (11) audit recommendations embodied in the 2015 Annual Audit Report, seven (7) were fully implemented, three (3) were partially implemented and one (1) was not implemented. The Status of Implementation of Prior Year's Audit Recommendations is shown in part III of this report.